

Financial Market

Croatia would be in favor of more unified and standardized sets of rules that would allow Croatia as a new member to align its financial system with the other members of the Union. Also, Croatia would like more freedom into setting its own rules and national market that would align with their historic values and attract investors who look for markets with more liberal approach. That would provide liquidity, application of common financial laws and regulations defined by European Stock Market Association (ESMA), and recognition of other member state's entities. The more stringent rules would provide more stability of overall market and attract more investors who might hesitate to invest into the newer member states. Croatia believes EU clearance is not required as long as they follow the ESMA defined guidelines.^[1]

Defense

Recently, the European Union defense ministers approved in Brussels 17 defense projects as part of Permanent Structured Cooperation (PESCO), and our nation of Croatia is participating in five. Our projects mainly cover cyber security, maritime surveillance, military mobility, disaster relief, and logistics.^[2] In order to assure we Europe as a whole develop defense projects that benefit us all, that we all can agree on in order to stay united as an alliance, not pose a threat on one another, and make sure they aren't too expensive, the PESCO efforts should require EU approval. Without EU approval and allowing every member state to decide how to design these project however they want, we fear this could lead to member states developing certain projects that threaten our safety, could hurt our alliances, or be too costly.

Agriculture

So far, when it comes to agriculture, Croatia has been experiencing a stagnant progress of productivity, and shortage of farmed animals or animal farmers themselves. Also, there is a lack of competitiveness in the agribusiness and too many small farms. Therefore, for the future of CAP and Rural Development planning, we believe it should remain a primary priority of the EU and has to shift its focus more on helping implement measures that would support small or medium sized farms, foster economic competitiveness in the EU supply sector, promote fair trade, and offer opportunities for member states to distribute funds for improving the welfare of animals and other pro-environmental practices. Therefore, Croatia does believe 30% of the budget on the long term is the right amount, as long as CAP shifts towards more environmental objectives and focus on helping small or medium sized farms more than the big farms that receive a vast majority of their benefits.^[3]

Environment

The 8th Environmental Action Program we just started, it is aimed at reaching climate neutrality by 2050 and the 2030 greenhouse gas emission reduction target. Croatia has had notable concerns when it comes to air and water pollution, such as its contribution endangering the biodiversity, especially forests and wetlands. We also need to deal with our wastewater treatment, in order to make the environment and our economy more sustainable. Therefore, Croatia approves the long-term goals already laid out in the 8th EAP, such as transitioning to a

circular economy by decoupling economic growth from environmental degradation and resource use, which includes wastewater management pursuing zero-pollution ambition by phasing out fossil fuel subsidies by 2025, and maintaining and repairing biodiversity, especially wetlands and forests.^[4] Although the budget outline for the program seems appropriately distributed between all nations across the board, by allowing poorer member states to spend less, Croatia does believe the areas of focus might need a bit of change. The budget spent on a circular economy and biodiversity seems too low, both standing about 10%, and it should receive more funding by each member state by allocating some of the funds from money spent on public transportation, which is about 30%.^[5]

Budget

With 100 billion EUROS of available funding, from what we Croatia saw and experienced across Europe as a whole, it is important to outline what the EU financial budget from 2021-2027 should be and its areas of focus. Since the economy is the most important thing in the world, especially now after the COVID-19 pandemic made the economy cripple across Europe, we believe 30% of the Funds should go to the “Single Market, Innovation and Digital” budget. Furthermore, the European Migrant Crisis, which began 2011, is ongoing and has now intensified ever since the War in Afghanistan ended. In order to put an end to this ongoing crisis that has got worse and we still mishandle, 25% of the funds should go to the “Migration and Border Management” budget. As countries throughout the EU are advancing, there still remains a few countries that haven’t fully developed yet and few that are starting to shift towards illiberal democracy, which could ruin our alliances. Therefore, we believe 18% of the funds should go to the “Cohesion, Resilience and Values” budget. When it comes to our initiative as a whole to combat climate change, the “Natural Resources and Environment” budget should receive 17% of the funds. With those four being the top and most important areas of focus, the “Neighborhood and the World” budget should be 5%, “Security and Defense” budget should be 3%, and the “European Public Administration” budget should be 2%.^[6]

In conclusion, the

SOURCES:

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<https://www.bruegel.org/2021/07/a-breakdown-of-eu-countries-post-pandemic-green-spending-plans/> [5]

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